

Procurement Policy

Version 3.0, effective 1 July 2026

1. Purpose and scope

- 1.1 This policy sets out how Sinar Maju Sdn Bhd ("the Company") buys goods and services: stock bought for resale to customers, and operating purchases for the Company's own use.
- 1.2 It applies to every department and every purchase paid with Company funds, except petty cash claims below RM500, which are covered by the Petty Cash Guideline.

2. Definitions

- 2.1 **Purchase value** means the total amount payable, including tax, for the whole requirement.
- 2.2 **Requirement** means all goods or services of the same kind that a department needs within a 30-day period.
- 2.3 **Evaluation date** means the date on which quotations are compared and a supplier is recommended.
- 2.4 **Approved Vendor List (AVL)** means the list of suppliers registered under Section 5, kept by the Procurement Department.

3. Approval limits

- 3.1 The number of quotations and the approval needed depend on the purchase value:

Purchase value (including tax)	Quotations required	Approval
Below RM5,000	One written quotation	Head of Department (HOD)
RM5,000 to RM50,000	Three written quotations and a comparison	HOD and Head of Procurement
Above RM50,000 up to RM250,000	Three written quotations, a comparison and a justification memo	Finance Director
Above RM250,000	Open tender	Board Tender Committee

- 3.2 If fewer than the required number of quotations can be obtained, the comparison must explain why and list the suppliers approached.
- 3.3 Monthly charges under a contract already approved under this policy (for example courier or cleaning services) do not need new quotations for each monthly purchase order. Renewing or extending the contract does.

4. Quotations

- 4.1 A quotation must be in writing, on the supplier's letterhead, and show the supplier's registered name and SSM registration number, a quotation number, the date of issue, and the name and signature of an authorised person.
- 4.2 A quotation must be valid for at least 30 days from its date of issue, and must still be valid on the evaluation date. An expired quotation must be revalidated by the supplier in writing before it can be used.
- 4.3 Quotations must be compared like-for-like. A quotation that does not meet every requirement in the RFQ (specification, quantity, warranty, service scope or delivery) is non-compliant. Ask the supplier for a revised quotation or exclude it from the comparison.
- 4.4 Check every line amount, discount, subtotal, tax amount and grand total. An arithmetic error must be corrected by the supplier in a revised quotation. Do not correct a supplier's figures yourself.
- 4.5 If a supplier charges SST, its quotation must show its SST registration number. A quotation that charges SST without it is non-compliant.
- 4.6 The lowest price is not automatically selected. Delivery, warranty, payment terms and previous performance may justify a higher price, provided the comparison explains why.

5. Suppliers

- 5.1 Only suppliers on the AVL may be used. A quotation from a supplier that is not on the AVL cannot be accepted until the supplier is registered under Clause 5.2.
- 5.2 To register, a supplier submits the Supplier Registration Form, its SSM company profile and bank details. Registration takes about ten working days.
- 5.3 The Procurement Department reviews the AVL every year and removes suppliers with poor delivery or quality records.

6. Payment terms

- 6.1 Standard payment terms are 30 days from the date of invoice, after the goods are received or the service is performed.
- 6.2 An advance payment or deposit must not be more than 30% of the purchase value. A higher advance needs the Finance Director's written approval before the purchase order is issued.

7. Splitting purchases

- 7.1 Do not split a requirement into smaller purchase orders to stay under a limit in Clause 3.1.
- 7.2 The Procurement Department reviews purchase orders every month. Two or more purchase orders to the same supplier from the same department within 30 days, whose combined value crosses a limit in Clause 3.1, are treated as one requirement and reported to the Finance Director.

8. Conflict of interest

- 8.1 Staff involved in a purchase must declare any personal or family link to a supplier before quotations are evaluated, and must not take part in that evaluation.
- 8.2 Staff must not accept gifts or hospitality worth more than RM100 from a supplier.

9. Records

- 9.1 Keep the RFQ, quotations, comparison, approval and purchase order together in the procurement system for seven years.

Appendix: what changed from Version 2.1

Clause	Version 2.1	Version 3.0
3.1	Finance Director approves purchases above RM100,000	Finance Director approves purchases above RM50,000
4.2	Quotations valid for at least 14 days	Quotations valid for at least 30 days
4.5	Lowest price clause (now 4.6). No SST clause	SST registration number required if SST is charged (new)
6.2	Advance payment up to 50%	Advance payment up to 30%
7.2	No monthly review	Monthly review of split purchases (new)

Document control	
Policy owner	Procurement Department (Rozita binti Mohd Ariff, Head of Procurement)
Approved by	Board of Directors, 18 June 2026
Next review	June 2027
Questions	procurement@sinarmaju.example, ext. 118